of its trade and foreign investment account in the 1990s and the first decade of the twenty-first century.

Trade Policy Developments since 2015

India's export performance since 2012–13 has been quite poor. Exports declined from 2013–14 for the next two years and then gradually recovered only to achieve the 2013–14 level in nominal dollars only in 2018–19. Imports, however, grew, though at a much smaller rate.

EXIM Policy 2015–2020 went along the lines of EXIM policies followed for the previous two decades. The only new element of note was the introduction of incentive schemes for goods and services exports. These schemes—the Mercantile Exports from India Scheme (MEIS) and Services Exports from India Scheme (SEIS)—promised a percentage of export value as duty-free scrips, which could be used freely for payment of import duty or sale to other importers and exporters. The MEIS incentive kept getting liberalized in terms of items covered and the rate of incentive. In 2018–19, the estimated liability of the incentive was about Rs 1 lakh crore. The scheme became a major drag on customs revenue and its impact on promoting exports was hardly visible.

The government started raising tariffs on several import items more systemically and comprehensively from 2018. Budget 2018–19 raised import tariffs on consumer items (processed foods, toiletry, footwear, watches, toys and games, etc.), electronic items (mobile phones, printed circuit boards, LCD/LED panels, etc.) and even some items that are exported after processing (diamond, precious stones, etc.). These increases were viewed by many as a protectionist move. Budget 2019–20 increased import tariffs on seventy-five items, including industrial intermediates (PVC, propylene, metal fittings, etc.), electronics (digital recorders, CCTV cameras, optic fibre cables, etc.) and consumer items (cashew nut kernels, ceramic tiles, etc.). Quite surprisingly, the high duty on gold of 10 per cent